

Paschimanchal Vidyut Vitran Nigam Ltd. & Ors. v. M/s DVS Steels & Alloys Pvt. Ltd. & Ors.

Supreme Court of India · Two-Judge Bench · 7 November 2008 · (2009) 1 SCC 210 · Civil Appeal No. 6565 of 2008 (arising out of SLP (C) No. 14003 of 2007) · **Appeal allowed; High Court order set aside, writ petition of the purchaser-consumer dismissed**

HEADNOTE

This is the foundational Supreme Court authority (cited throughout this corpus's arrears/transferee-liability cluster, e.g. SCJ-090, SCJ-098) on the interplay between the general law of contract and Clause 4.3(g)/(h) of the Electricity Supply Code. Electricity dues do not constitute a 'charge' on the premises; in the absence of a contract to the contrary, a purchaser/transferee cannot be sued or subjected to revenue recovery for a predecessor's electricity dues, since the supply contract binds only the distributor and the consumer with whom it has privity. However, this legal position affords no practical protection to a purchaser seeking a *fresh* connection: the distributor may lawfully stipulate, as a condition for supplying electricity to the premises (fresh connection or reconnection), that the predecessor's arrears be cleared first — such a stipulation (e.g. Clause 4.3(g)/(h), requiring pro-rata clearance of dues on a legally sub-divided property before a new connection is given) is not unreasonable or arbitrary and is a legitimate safeguard against consumers absconding via property transfer to evade dues. A consumer who voluntarily pays such pro-rata dues as a condition for a fresh connection, before any injunction restrains the demand, cannot later claim a refund merely because a regulatory Commission subsequently directs the distributor not to demand further such payments from future connection-seekers, absent an express refund direction; the amount is refundable only if the original consumer's disputed liability is ultimately negated or actually cleared.

HOLDING-UNITS

HOLDING-UNIT · UP-2005::4.3(g)

Electricity dues are not a charge on the premises and cannot be recovered from a transferee absent contract/stipulation, but a distributor may lawfully condition a fresh connection to a sub-divided plot on pro-rata clearance of the predecessor's arrears

QUESTION

(a) Can a distributor recover a predecessor-consumer's electricity dues from a purchaser of (part of) the premises by suit or revenue recovery? (b) Can the distributor instead condition the grant of a fresh connection to the purchaser on pro-rata clearance of those dues? (c) Is a purchaser who voluntarily paid such pro-rata dues (before any injunction) entitled to a refund once a Commission later directs the distributor not to demand such payments from future applicants?

HOLDING

(a) No — electricity dues do not constitute a charge on the premises; a transferee with no privity of contract cannot be sued or subjected to revenue recovery for a predecessor's dues, absent a contract to the contrary. (b) Yes — this legal position affords no practical protection to a purchaser seeking a fresh connection: the distributor may validly stipulate, as a condition for supply, that a predecessor's arrears (or, for a legally sub-divided property, the pro-rata share under Clause 4.3(g)/(h)) be cleared first; such a condition is not unreasonable or arbitrary and legitimately protects the distributor against consumers evading dues by selling and relocating. (c) No — the purchaser here voluntarily paid the pro-rata dues as a condition for connection before any Commission order or injunction; a subsequent Commission direction restraining the distributor from *demanding* such payments from future applicants (issued because the predecessor furnished a bank guarantee for its disputed liability) did not itself direct refund of amounts already paid, and the purchaser — having paid pursuant to its own undertaking to obtain connection — is estopped from reclaiming it except on the agreed terms (i.e., refundable only if the predecessor's liability is ultimately negated or the predecessor actually clears the dues). ¶ paras 8-14

LIMITING FACTS

The third respondent (original consumer) disputed a supplementary bill of Rs. 105.78 lakh (HV1-vs-HV2 tariff dispute) in pending litigation; it later sub-divided its plot into 129 smaller plots and sold one to the first respondent, who was granted a fresh connection conditioned on paying Rs. 8,63,451 (pro-rata dues), which it paid under an undertaking to refund if the underlying dispute were resolved in the original consumer's favour. The Regulatory Commission later directed the distributor to accept a bank guarantee from the original consumer and release future connections to other

plot-purchasers without further pro-rata demands; the first respondent then sought a refund of its already-paid amount, which the High Court granted but the Supreme Court reversed.

PRINCIPLE TAGS

arrears-run-with-the-premises The foundational SC statement of the doctrine underlying this corpus's arrears/transferee-liability cluster (K.C. Ninan/SCJ-037 line, and later applied/qualified in SCJ-054, SCJ-063, SCJ-090, SCJ-098): dues are not a charge on the property in the absence of a stipulation, but a distributor may lawfully condition supply/reconnection on clearance of a predecessor's dues via Clause 4.3(g)/(h)-type provisions, without that being arbitrary or unreasonable.

¶ paras 9-11

voluntary-payment-under-undertaking-not-refundable-absent-express-direction A consumer who voluntarily pays disputed dues as a condition for obtaining a benefit (here, a fresh connection), pursuant to its own undertaking, cannot later claim a refund based on a subsequent regulatory order that merely restrains future demands, absent an express refund direction — the payment remains refundable only per the terms of the original undertaking. ¶ paras 13-14

SCJ-099 · Paschimanchal Vidyut Vitran Nigam Ltd. & Ors. v. M/s DVS Steels & Alloys Pvt. Ltd. & Ors. · (2009) 1 SCC 210 · Supply Code Jurisprudence

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